AVSPMC

Free guide for developers, companies and private owners

Contractor selection guide

How to tender a building project, compare bids on equal terms, and sign a contract that protects you. The cheapest bid is rarely the lowest final cost.

1. Prepare before you invite anyone

1. **Freeze the drawings.** Contractors can only price what they can see. Incomplete drawings become variations later.
2. **Write a bill of quantities (BOQ).** One list of items, units and quantities that every bidder prices. Without it, bids cannot be compared.
3. **Write the specifications.** Brands, grades and finishes for each item.
4. **Decide the contract type.** Item-rate (pay measured quantities at agreed rates) suits most projects; lump-sum suits fully designed, smaller works.
5. **Set the programme.** A target completion date and key milestones the bid must meet.

2. Pre-qualify a shortlist of three to five

Check	What to ask for
Similar work	Two or three projects of similar type and size completed in the last five years; visit at least one
References	Contact details of past clients; ask about delays, quality and how disputes were handled
Financial strength	Turnover for the last three years; a project larger than about a third of annual turnover is a stretch
Team	Names and experience of the project manager and site engineer who will actually run your job
Registrations	GST, labour and provident fund registrations; contractor licence where required
Safety and quality	Safety record, a written quality plan, and what testing they do themselves

3. Send a complete tender package

Every bidder gets the same documents: instructions, drawings, specifications, the BOQ to price, draft contract conditions, programme, site visit date and the bid deadline. Answer every question in writing and share each answer with all bidders.

4. Compare bids like for like

Put every bid in one table, line by line. Then adjust for what each one leaves out before comparing totals.

Item	Bidder A	Bidder B	Bidder C	What to look for
Quoted total	Lowest	Middle	Highest	The starting point only
Exclusions	Many	Few	None	Price each exclusion and add it back
Rates vs your estimate	Some far below	Close	Close	Very low rates on large items often return as claims
Programme	Not given	Meets target	Meets target	A bid without a programme is incomplete
Team named	No	Yes	Yes	Names, not just a company profile

> Illustrative example. Once exclusions are priced in, the lowest quote is often no longer the lowest bid.

5. Interview, negotiate, award

- Meet the two best bidders with their site team; walk through the programme and their method.
- Clarify every assumption in writing; negotiate on clear items, not by asking for a flat discount.
- Award in writing, and tell the unsuccessful bidders.

6. What the contract must cover

- [ ] Scope, drawings, specifications and the priced BOQ attached
- [ ] Rates, how quantities are measured, and how new items are priced
- [ ] Programme with milestones and liquidated damages for delay
- [ ] Advance amount (if any), how it is recovered, and the bank guarantee against it
- [ ] Payment terms: running bills on measured work, certification time, payment time
- [ ] Retention percentage and when it is released
- [ ] Variation procedure: nothing extra is paid without a written instruction
- [ ] Quality: testing, inspections and rejection of defective work
- [ ] Safety responsibilities and insurance (contractor's all-risk, workmen's compensation)
- [ ] Defects liability period after completion
- [ ] Termination rights and dispute resolution (for example arbitration)

Red flags

- A price far below the others with no explanation
- Large advance demanded before any work starts
- No named site team, or a team that changes after award
- Reluctance to sign a written contract or accept retention
- Past clients who will not speak to you

AVSPMC runs tenders and contractor selection for building projects across India. avspmc.avsllp.co
General guidance only, not legal advice. Have contracts reviewed by a lawyer.